Microsoft (MSFT US)

Buy: Anthropic may prove USD43bn p.a. opportunity

Equities
Software

United States

- We note a sharp acceleration in enterprise AI and Anthropic revenue growth, becoming a strong tailwind for Microsoft
- We expect Azure to earn USD43bn p.a. from Anthropic by 2030e vs a minimal amount currently
- No change to estimates as we already model significant Azure growth; maintain Buy and TP of USD571.00

Enterprise AI growth accelerating: We observe significant acceleration in enterprise AI revenue growth across key AI players. Notably, the annualized revenue run-rate at enterprise-focused Anthropic rose from cUSD9bn in December 2025 to cUSD40bn in May 2026, according to The Information. Moreover, we expect global Enterprise AI revenue, ex-China, to reach 612bn by 2030e, with Anthropic being a key enterprise supplier.

New Anthropic relationship offers major upside: We estimate that Anthropic may report 2030e revenue of cUSD241bn vs our estimate of less than USD5bn in 2025. Notably, Anthropic accounts for c5% of Microsoft's remaining performance obligations (RPO) vs OpenAI (c46%). Thus, as Anthropic quickly grows its revenue, Microsoft's new partnership with Anthropic could be a source of major revenue upside. If we assume Anthropic's 2030e compute requirement spending will be 60% of its revenue, it could amount to a USD144bn annual revenue opportunity for cloud infrastructure providers. If Microsoft Azure garners 30% share in that opportunity (in line with our 2030 market share estimates), this could result in being a USD43bn per annum opportunity for Microsoft by 2030e.

Strong long-term growth aided by high capex: Azure posted stellar 40% y-o-y (+39% in constant currency) revenue growth off a large base in 3QFY26, and the company guided to Azure 4QFY26 constant-currency growth of 39-40% along with further acceleration in 1HFY27. However supporting this growth requires investment, and capital expenditure for Microsoft (mostly for Azure) was USD31.9bn in that quarter. Moreover, management guided to 4QFY26 capex of more than USD40bn, with an implied 1HFY27 capex of cUSD117bn, such that CY26 capex could exceed USD190bn. We support the company's aggressive investment strategy and see AI compute demand outpacing supply for several years, positioning the company at the center of a massive AI supercycle. We expect Microsoft's CY25-27 revenue CAGR of 21.3% and non-GAAP EPS CAGR of 20.8% driven largely by sharp growth within Azure and other developing AI software services.

Attractive valuation: Despite accelerating growth, Microsoft trades at a historical low of 21.3x P/NTM non-GAAP EPS vs its five-year average of 29.2x. Our TP of USD571.00 is 29x our NTM non-GAAP EPS of USD19.68 (all unchanged). Our TP implies 36.4% upside. We maintain our Buy rating.

MAINTAIN BUY

TARGET PRICE (USD)	PREVIOUS TARGET (USD)
571.00	571.00
SHARE PRICE (USD)	**UPSIDE/DOWNSIDE**
418.57	+36.4%

(as of 25 May 2026)

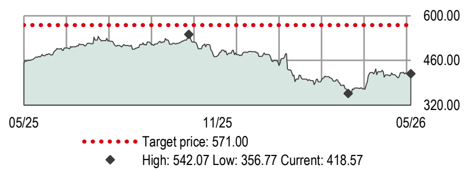
MARKET DATA

Market cap (USDm)	3,109,321	Free float	100%
Market cap (USDm)	3,109,321	BBG	MSFT US
3m ADTV (USDm)	13,612	RIC	MSFT.O

FINANCIALS AND RATIOS (USD)

Year to	06/2025a	06/2026e	06/2027e	06/2028e
HSBC EPS	14.00	16.92	20.71	24.68
HSBC EPS (prev)	14.00	16.92	20.71	24.68
Change (%)	0.0	0.0	0.0	0.0
Consensus EPS	13.37	16.78	19.42	22.87
PE (x)	29.9	24.7	20.2	17.0
Dividend yield (%)	0.8	0.8	0.9	1.0
EV/EBITDA (x)	18.8	15.9	12.5	10.0
ROE (%)	34.2	32.4	31.2	29.4

52-WEEK PRICE (USD)



Source: LSEG IBES, HSBC estimates

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Disclosures & Disclaimer

This report must be read with the disclosures and the analyst certifications in the Disclosure appendix, and with the Disclaimer, which forms part of it.

Issuer of report: HSBC Securities (USA) Inc.

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Financials & valuation: Microsoft

Buy

Financial statements

Year to	06/2025a	06/2026e	06/2027e	06/2028e
Profit & loss summary (USDm)				
Revenue	281,724	331,147	406,233	495,659
EBITDA	162,681	193,556	250,106	315,477
Depreciation & amortisation	-34,153	-38,924	-60,110	-87,282
Operating profit/EBIT	128,528	154,632	189,996	228,195
Net interest	0	0	0	0
PBT	123,627	160,824	184,308	217,442
HSBC PBT	126,319	156,226	189,908	226,442
Taxation	-21,795	-31,497	-35,018	-41,314
Net profit	101,832	129,327	149,289	176,128
HSBC net profit	104,524	126,092	153,825	183,418
Cash flow summary (USDm)				
Cash flow from operations	136,162	169,795	237,718	295,892
Capex	-64,551	-121,146	-240,000	-276,000
Cash flow from investment	-72,599	-125,669	-240,000	-276,000
Dividends	-24,082	-26,435	-28,984	-31,897
Change in net debt	-27,501	25,851	53,266	28,004
FCF equity	71,611	48,649	-2,282	19,892
Balance sheet summary (USDm)				
Intangible fixed assets	142,113	138,986	138,986	138,986
Tangible fixed assets	285,759	420,848	627,957	845,225
Current assets	191,131	183,655	158,487	159,940
Cash & others	94,565	70,825	17,759	-10,046
Total assets	619,003	743,488	925,430	1,144,152
Operating liabilities	232,373	262,691	329,877	400,341
Gross debt	43,151	45,262	45,462	45,662
Net debt	-51,414	-25,563	27,703	55,708
Shareholders' funds	343,479	435,536	550,091	698,148
Invested capital	292,065	409,973	577,794	753,856

Ratio, growth and per share analysis

Year to	06/2025a	06/2026e	06/2027e	06/2028e
Y-o-y % change				
Revenue	14.9	17.5	22.7	22.0
EBITDA	23.5	19.0	29.2	26.1
Operating profit	17.4	20.3	22.9	20.1
PBT	14.7	30.1	14.6	18.0
HSBC EPS	18.6	20.8	22.4	19.2
Ratios (%)				
Revenue/IC (x)	1.0	0.9	0.8	0.7
ROIC	39.5	35.4	31.2	27.8
ROE	34.2	32.4	31.2	29.4
ROA	18.0	19.0	17.9	17.0
EBITDA margin	57.7	58.5	61.6	63.6
Operating profit margin	45.6	46.7	46.8	46.0
EBITDA/net interest (x)				
Net debt/equity	-15.0	-5.9	5.0	8.0
Net debt/EBITDA (x)	-0.3	-0.1	0.1	0.2
CF from operations/net debt			858.1	531.2
Per share data (USD)				
EPS Rep (diluted)	13.64	17.35	20.10	23.70
HSBC EPS (diluted)	14.00	16.92	20.71	24.68
DPS	3.23	3.55	3.90	4.29
Book value	46.01	58.44	74.06	93.95

Key forecast drivers

Year to	06/2025a	06/2026e	06/2027e	06/2028e
Revenue growth, yoy, %	14.9	17.5	22.7	22.0
HSBC EPS growth, yoy, %	18.6	20.9	22.4	19.2
Gross margin, %	68.8	68.1	67.3	66.6
Operating margin, %	45.6	46.7	46.8	46.0

Valuation data

Year to	06/2025a	06/2026e	06/2027e	06/2028e
EV/sales	10.9	9.3	7.7	6.4
EV/EBITDA	18.8	15.9	12.5	10.0
EV/IC	10.5	7.5	5.4	4.2
PE*	29.9	24.7	20.2	17.0
PB	9.1	7.2	5.7	4.5
FCF yield (%)	2.3	1.6	-0.1	0.6
Dividend yield (%)	0.8	0.8	0.9	1.0

* Based on HSBC EPS (diluted)

ESG metrics

Environmental Indicators	06/2024a
GHG emission intensity*	n/a
Energy intensity*	n/a
CO_2 reduction policy	Yes
Social Indicators	**06/2024a**
Employee costs as % of revenues	n/a
Employee turnover (%)	n/a
Diversity policy	Yes

Governance Indicators	06/2025a
No. of board members	12
Average board tenure (years)	n/a
Female board members (%)	41.7
Board members independence (%)	91.7

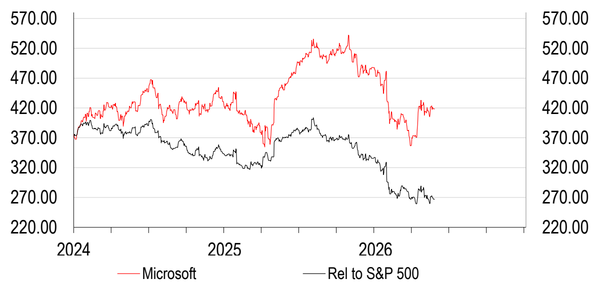
Source: Company data, HSBC

* GHG intensity and energy intensity are measured in kg and kWh respectively against revenue in USD '000s

Issuer information

Share price (USD)	418.57	Free float	100%
Target price (USD)	571.00	Sector	Software
RIC (Equity)	MSFT.O	Country/Region	United States
Bloomberg (Equity)	MSFT US	Analyst	Stephen Bersey
Market cap (USDm)	3,109,321	Contact	+1 212 525 4153

Price relative



Source: HSBC

Note: Priced at close of 25 May 2026

AI-related compute demand may reach USD700bn by 2030e

We expect global AI revenue and compute demand, ex-China, to reach USD806bn and USD700bn, respectively, by 2030e.

While OpenAI has provided comparatively more details than its peers about its compute offtake agreements, we expect OpenAI to report 2030e revenue of cUSD188bn and compute offtake of USD193bn. Thus, with estimated compute costs at 102.6% of revenue, we expect OpenAI to remain lossmaking in 2030e.

However, for the majority of the rest of the AI space, we assume 2030e compute costs will be lower at 71.8% of revenue, where unlike OpenAI other major players are either enterprise focussed (Anthropic) where compute "isn't wasted" on non-paying users or have limited or own in-house TPUs (Google) which help keep costs lower.

AI market: Our long-term AI revenue outlook

USDm, CY	2025e	2026e	2027e	2028e	2029e	2030e
Total AI revenue	**32,921**	**135,083**	**280,789**	**418,177**	**585,717**	**805,876**
Anthropic	4,580	46,546	101,428	137,454	181,449	240,634
OpenAI	12,332	35,116	70,840	105,434	143,679	188,057
Google	3,047	15,583	31,442	46,083	64,897	90,318
Meta	**376**	**995**	**1,964**	**2,727**	**3,677**	**4,979**
Microsoft	3,048	7,349	11,339	15,200	19,882	25,141
Cursor	581	3,515	4,806	5,527	6,554	7,856
Other AI based coding tools	646	3,168	4,309	4,956	5,877	7,045

Source: Company data, Menlo Ventures, HSBC estimates

AI-related compute costs

CY, USDm	2025	2026e	2027e	2028e	2029e	2030e
Total AI revenue	**32,921**	**135,083**	**280,789**	**418,177**	**585,717**	**805,876**
OpenAI revenue	12,332	35,116	70,840	105,434	143,679	188,057
Other AI revenue	20,590	99,967	209,948	312,743	442,037	617,819
Total AI compute costs	**46,173**	**172,083**	**312,915**	**452,035**	**592,875**	**636,840**
OpenAI compute costs	21,290	57,500	101,775	146,938	188,000	193,000
Other AI compute costs	24,883	114,583	211,140	305,098	404,875	443,840
Total AI compute costs/revenue	**140.3%**	**127.4%**	**111.4%**	**108.1%**	**101.2%**	**79.0%**
OpenAI AI compute costs/revenue	172.6%	163.7%	143.7%	139.4%	130.8%	102.6%
Other AI compute costs/revenue	120.9%	114.6%	100.6%	97.6%	91.6%	71.8%

Source: Company data, HSBC estimates

Anthropic offers significant upside to Azure's TAM

We estimate that Anthropic may report 2030e revenue of cUSD241bn vs our estimate of less than USD5bn in 2025. Notably, Anthropic accounts for c5% of Microsoft's RPOs vs OpenAI (c46%). Thus, as Anthropic quickly grows its revenue, Microsoft's new partnership with Anthropic could be a source of major revenue upside for Microsoft.

If we assume Anthropic's 2030e compute requirement spending will be 60% of its revenue, it could amount to a USD144bn annual revenue opportunity for cloud infrastructure providers. If Microsoft Azure garners 30% share in that opportunity (in line with our 2030 market share estimates), this could be a USD43bn per annum opportunity for Microsoft by 2030e.

Cloud infrastructure providers: Long-term revenue outlook

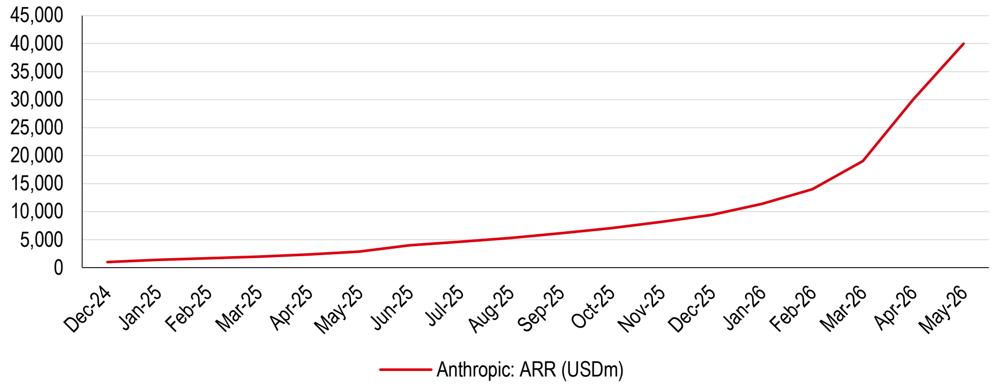
CY	2022	2023	2024	2025	2026e	2027e	2028e	2029e	2030e
Revenue (USDm)									
AWS	80,096	90,757	107,556	128,725	161,654	203,007	252,908	312,547	386,249
Google Cloud	26,280	33,088	43,229	58,705	97,677	174,423	239,176	NA	NA
Oracle Cloud as Infra	3,470	5,700	8,400	13,080	26,028	58,788	107,905	201,958	NA
CoreWeave	16	229	1,915	5,131	12,540	24,592	36,455	46,056	53,156
Microsoft Azure*	37,324	48,292	64,295	88,670	129,427	194,621	269,492	354,854	448,474
Revenue growth (YoY)									
AWS		13.3%	18.5%	19.7%	25.6%	25.6%	24.6%	23.6%	23.6%
Google Cloud		25.9%	30.6%	35.8%	66.4%	78.6%	37.1%	NA	NA
Oracle Cloud as Infra		64.3%	47.4%	55.7%	99.0%	125.9%	83.5%	87.2%	NA
CoreWeave		1346.3%	736.6%	167.9%	144.4%	96.1%	48.2%	26.3%	15.4%
Microsoft Azure*		29.4%	33.1%	37.9%	46.0%	50.4%	38.5%	31.7%	26.4%

Source: Company data, HSBC estimates. *Historical data estimated by HSBC.

Global Enterprise AI revenue to reach 612bn by 2030e, ex-China

We observe significant acceleration in enterprise AI revenue growth across key AI players. Notably, the annualized revenue run rate at enterprise-focused Anthropic rose from cUSD9bn in December 2025 to cUSD40bn in May 2026, according to The Information. Moreover, we expect global Enterprise AI revenue, ex-China, to reach 612bn by 2030e, with Anthropic being a key enterprise supplier.

Annualized revenue run-rate at Anthropic



Source: Company data, The Information, HSBC estimates

Enterprise AI revenue

USDm, CY	2025e	2026e	2027e	2028e	2029e	2030e
Enterprise AI revenue	**20,321**	**110,256**	**224,012**	**319,450**	**441,659**	**612,214**
Key companies						
Anthropic	4,265	44,659	97,402	130,639	170,364	222,806
Foundation model	3,671	22,452	43,858	59,389	78,023	102,862
Claude code	234	8,419	15,020	17,944	20,622	23,490
Claude for Enterprise	360	13,789	38,523	53,305	71,719	96,454
OpenAI	2,935	16,898	35,064	48,143	64,419	86,541
Foundation model	2,637	8,727	15,790	21,928	29,567	40,036
Codex	66	3,045	5,403	6,533	7,673	8,962
ChatGPT enterprise	232	5,125	13,871	19,682	27,179	37,543
Google	2,287	14,085	28,536	41,219	57,588	80,100
Foundation model	1,957	11,135	23,742	34,487	48,558	68,538
Google Gemini Enterprise	330	2,951	4,794	6,731	9,030	11,562
Other	10,833	34,612	63,010	99,450	149,289	222,766
Key segments						
Departmental AI	**4,555**	**26,100**	**45,112**	**62,582**	**82,672**	**109,662**
AI driven coding tools	2,378	20,238	32,377	38,225	44,599	51,993
AI agents and other	2,177	5,861	12,735	24,356	38,073	57,668
Horizontal AI	**4,321**	**32,863**	**75,987**	**108,276**	**150,566**	**208,693**
CoPilots and similar tools	3,872	30,764	72,209	102,177	140,797	193,052
Other horizontal AI	449	2,099	3,778	6,098	9,769	15,641
Industry specific AI tools	**2,388**	**7,213**	**15,639**	**27,395**	**45,002**	**72,576**
Foundation LLM models	**9,057**	**44,080**	**87,274**	**121,198**	**163,420**	**221,283**

Source: Company data, The Information, HSBC estimates

Strong growth in foundation model subsegment

We expect foundation LLM model subsegment revenue to rise to USD221bn by 2030e.

Our analysis indicates that OpenAI has lost significant market share to Anthropic in the key foundation model subsegment. We assume OpenAI's revenue market share will stabilize at c18%.

Foundation LLM model subsegment: Ultrafast growth but OpenAI likely losing market share

USDm	Sep-25	Oct-25	Nov-25	Dec-25	Jan-26	Feb-26	Mar-26	Apr-26	May-26
Foundation LLM models	**11,384**	**12,522**	**13,774**	**15,152**	**17,273**	**19,691**	**23,826**	**32,165**	**38,920**
Anthropic	4,862	5,585	6,397	6,996	8,046	9,297	11,571	16,029	20,344
OpenAI	3,101	3,356	3,635	4,134	4,480	5,061	5,785	7,430	7,956
Google	2,555	2,792	3,053	3,339	3,840	4,452	5,499	7,564	9,346
Meta	410	413	413	417	432	443	536	724	876
Other	455	376	275	265	475	438	435	418	399
Revenue market share	**100.0%**	**100.0%**	**100.0%**	**100.0%**	**100.0%**	**100.0%**	**100.0%**	**100.0%**	**100.0%**
Anthropic	42.7%	44.6%	46.4%	46.2%	46.6%	47.2%	48.6%	49.8%	52.3%
OpenAI	27.2%	26.8%	26.4%	27.3%	25.9%	25.7%	24.3%	23.1%	20.4%
Google	22.4%	22.3%	22.2%	22.0%	22.2%	22.6%	23.1%	23.5%	24.0%
Meta	3.6%	3.3%	3.0%	2.8%	2.5%	2.3%	2.3%	2.3%	2.3%
Other	4.0%	3.0%	2.0%	1.8%	2.8%	2.2%	1.8%	1.3%	1.0%
Usage Market share	**100.0%**	**100.0%**	**100.0%**	**100.0%**	**100.0%**	**100.0%**	**100.0%**	**100.0%**	**100.0%**
Anthropic	39.2%	41.6%	44.0%	44.0%	44.0%	45.0%	46.5%	48.0%	50.5%
OpenAI	25.0%	25.0%	25.0%	26.0%	24.5%	24.5%	23.3%	22.3%	19.8%
Google	20.6%	20.8%	21.0%	21.0%	21.0%	21.6%	22.1%	22.7%	23.2%
Meta	7.2%	6.6%	6.0%	5.5%	5.0%	4.5%	4.5%	4.5%	4.5%
Other	8.0%	6.0%	4.0%	3.5%	5.5%	4.4%	3.7%	2.6%	2.1%

Source: Company data, The Information, Menlo Ventures, HSBC estimates

Foundation LLM models: Long-term revenue outlook

USDm, CY	2025e	2026e	2027e	2028e	2029e	2030e
Foundation LLM models	**9,057**	**44,080**	**87,274**	**121,198**	**163,420**	**221,283**
Anthropic	3,671	22,452	43,858	59,389	78,023	102,862
OpenAI	2,637	8,727	15,790	21,928	29,567	40,036
Google	1,957	11,135	23,742	34,487	48,558	68,538
Meta	376	995	1,964	2,727	3,677	4,979
Other	415	771	1,920	2,666	3,595	4,868
Revenue market share	**100.0%**	**100.0%**	**100.0%**	**100.0%**	**100.0%**	**100.0%**
Anthropic	40.5%	50.9%	50.3%	49.0%	47.7%	46.5%
OpenAI	29.1%	19.8%	18.1%	18.1%	18.1%	18.1%
Google	21.6%	25.3%	27.2%	28.5%	29.7%	31.0%
Meta	4.2%	2.3%	2.3%	2.3%	2.3%	2.3%
Other	4.6%	1.7%	2.2%	2.2%	2.2%	2.2%
Usage Market share	**100.0%**	**100.0%**	**100.0%**	**100.0%**	**100.0%**	**100.0%**
Anthropic	34.3%	48.3%	48.0%	46.8%	45.6%	44.4%
OpenAI	27.0%	20.0%	17.3%	17.3%	17.3%	17.3%
Google	18.7%	23.7%	25.9%	27.1%	28.3%	29.5%
Meta	9.4%	4.5%	4.5%	4.5%	4.5%	4.5%
Other	10.6%	3.5%	4.4%	4.4%	4.4%	4.4%
Revenue of AI applications	11,264	66,175	136,738	198,253	278,240	390,931
Foundation LLM revenue/AI application revenue	**80%**	**67%**	**64%**	**61%**	**59%**	**57%**

Source: Company data, HSBC estimates

As illustrated in our long-term revenue outlook table above, we estimate that the revenue earned by foundation LLM models was c80% of the revenue generated by AI applications using the LLMs as the embedded AI source. However, we believe that foundation models continue to converge in ability, particularly within mid-level complexity applications where “good enough” results are almost indistinguishable between vendors. Thus, when considering the dynamics of low switching costs and fast replacement time between moving from one foundation model to another, we see downward pressure on model pricing as competition between foundation models, open source, and proprietary models mature. Thus, we assume revenue share for foundation model providers generated from applications declines to 56% by 2030e. Furthermore, as we expect the performance of various foundation models to continue to converge, particularly in the “good enough” category, we see the potential for downside risk to our LLM providers’ revenue estimates.

Coding market remains the key AI application for now

The AI coding tools market continues to grow rapidly, driven by surging token consumption due to the abrupt early adoption from users (coders) which tend to be highly tech savvy. In fact, Microsoft reported in its 1QCY26 results conference call that the usage of GitHub CoPilot was doubling every month. In addition, the company has announced plans to shift to usage-based pricing, which could result in being a significant ARPU boost, in our opinion.

Moreover, Nvidia CEO Jensen Huang said in a recent LinkedIn interview that Nvidia could offer its software engineers tokens worth half their salary (so an engineer earning USD500K per annum may spend USD250K per annum on AI tokens). While Nvidia might be an extreme example, we are hearing similar anecdotes across the industry – that token costs are becoming substantially bigger than previously estimated.

We generally model market share for various LLM providers in the same ratio as their usage market share in the foundation LLM model market.

AI-driven coding tools revenue on a surge – annualised run rate

USDm	Sep-25	Oct-25	Nov-25	Dec-25	Jan-26	Feb-26	Mar-26	Apr-26	May-26
AI driven coding tools	**3,058**	**3,584**	**4,200**	**5,244**	**6,581**	**8,535**	**11,425**	**15,091**	**19,436**
Claude Code	300	420	588	1,000	1,600	2,560	4,341	5,886	7,803
OpenAI: Codex	67	121	217	391	625	1,000	1,470	2,084	2,799
GitHub CoPilot	950	997	1,047	1,072	1,125	1,181	1,333	1,691	2,098
Cursor	774	929	1,000	1,300	1,600	2,000	2,257	2,863	3,551
Other coding	967	1,117	1,347	1,482	1,630	1,793	2,023	2,567	3,184

Source: Company data, Menlo Ventures, HSBC estimates

- Microsoft's GitHub allows developers to store, manage, track, and share their code and we believe GitHub to be one of the world's largest repositories for software development. It provides tools for collaboration, such as version control, code reviews, and project management, enabling multiple people to work on the same project simultaneously without overwriting each other's work. GitHub CoPilot is an AI-driven tool that helps programmers write code and solve problems described in natural language. Driving this ability, GitHub CoPilot offers underlying foundation LLMs, including OAI's GPT models, Anthropic's Claude, xAI's Grok, and Google's Gemini. Microsoft revealed in its 4QCY25 results conference call that GitHub CoPilot has 4.7m users, up 75% y-o-y. Moreover, GitHub CoPilot offers several plans, including Pro (USD10/month), Business (USD19/month), and Enterprise (custom pricing, with features higher than Business). We estimate a December 2025e ARR of USD1,072m, assuming an ARPU of USD19/month. We expect ARPU to rise rapidly as Microsoft migrates to usage-based pricing.
- Anthropic's Claude Code was fully launched to the public in May 2025. We estimate that It realized ARR of USD1bn by December 2025 and USD2.5bn by February 2026.
- OAI's Codex saw a surge in user adoption after it launched GPT-5.3 Codex in early February 2026. We estimate that the total number of users more than tripled to 1.6m in early March 2026 vs early 2026. According to Yahoo Finance, the ARR reached USD1bn in early 2026 and has increased significantly since. An ARR of USD1bn on just 1.6m users would suggest an ARPU of cUSD52/month.

AI-driven coding tools– HSBC long-term estimates

USDm, CY	2025e	2026e	2027e	2028e	2029e	2030e
Number of professional programmers (m)	**25**	**24**	**24**	**23**	**23**	**22**
% using AI coding tools	16%	79%	99%	100%	100%	100%
Number of programmers using AI coding tools (m)	**4**	**19**	**24**	**23**	**23**	**22**
ARPU (USD/month)	49	87	115	137	164	196
AI Coding tools ARR	**2,378**	**20,238**	**32,377**	**38,225**	**44,599**	**51,993**
Claude Code	234	8,419	15,020	17,944	20,622	23,490
OpenAI: Codex	66	3,045	5,403	6,533	7,673	8,962
GitHub CoPilot	850	2,091	2,839	3,265	3,872	4,641
Cursor	581	3,515	4,806	5,527	6,554	7,856
Other coding	646	3,168	4,309	4,956	5,877	7,045

Source: Company data, HSBC estimates

Software-powered Agentic AI adoption rising faster than expected

There are strong signs that the adoption of agentic AI embedded within enterprise software applications is rising much faster than we previously expected.

- ServiceNow expects its AI-driven Now Assist's ARR to rise to USD1.5bn by December 2026 (previously USD1.0bn) vs USD600m in December 2025.
- SAP said in its investor day earlier this month that it expects its TAM to expand at a CAGR of 44% over 2026-30e due to AI adoption vs a CAGR of only 12% for its core (ex-AI) business.
- Salesforce's Agentforce reached a standalone ARR of USD800m by 4QCY25, growing 169% y-o-y.

We increase our estimates for the agentic AI market to reflect the above trends.

Agentic AI market

USDm, CY	2025e	2026e	2027e	2028e	2029e	2030e
Total agents and other departmental AI revenue	**2,177**	**5,861**	**12,735**	**24,356**	**38,073**	**57,668**
Salesforce: Agentforce	490	1,309	2,186	3,327	5,031	7,602
As a % of total Salesforce revenue	1.2%	2.8%	4.3%	5.8%	7.9%	10.6%
ServiceNow: Now Assist	300	1,142	1,963	2,991	4,522	6,833
As a % of total ServiceNow revenue	2.3%	7.0%	9.7%	11.9%	14.6%	18.0%
Other agents/other departmental AI	1,387	3,409	8,585	18,038	28,521	43,234
As a % of total revenue of other major enterprise software companies	0.5%	1.2%	2.7%	5.1%	7.3%	10.0%
Enterprise Software revenue: Major software companies	**309,179**	**349,226**	**392,530**	**439,406**	**487,764**	**541,938**
Oracle ex OCI	47,937	50,642	53,412	56,625	59,951	63,313
Adobe	23,769	25,893	27,533	29,736	31,520	33,411
Autodesk	7,206	8,211	9,012	9,733	10,512	11,353
Salesforce	41,525	46,149	51,431	57,346	63,971	71,391
CrowdStrike	4,812	5,967	7,399	9,970	13,261	17,421
IBM Software	29,963	33,161	36,191	38,995	42,044	45,359
Intuit	20,121	23,446	27,366	30,579	32,108	33,713
Microsoft Dynamics	8,405	9,568	10,565	11,622	12,784	14,062
ServiceNow	13,278	16,398	20,283	25,049	30,884	38,017
Palo Alto Networks	9,893	12,200	14,181	16,718	19,547	22,847
Palantir	4,475	7,682	11,570	14,408	17,368	20,504
SAP	41,580	45,705	50,422	55,467	60,215	65,457
Snowflake	4,684	6,000	7,742	9,924	12,305	14,766
Other	51,530	58,204	65,422	73,234	81,294	90,323

Source: Company data, HSBC estimates

CoPilots and similar tools increasingly becoming mainstream

We estimate that AI copilots/coworkers such as Microsoft CoPilot, Claude CoWork, and ChatGPT enterprise reached an ARR of USD7.2bn in November 2025. We estimate rapid adoption in such tools since then with a May 2026 ARR of USD26bn. We do not have definitive information on the recent market size given the private nature of major players. However, we struggle to find other plausible explanation for the runaway revenue growth reported by enterprise AI companies such as Anthropic except for the rapid growth in AI-driven CoPilots and coding tools.

CoPilots and similar tools

USDm	Sep-25	Oct-25	Nov-25	Dec-25	Jan-26	Feb-26	Mar-26	Apr-26	May-26
CoPilots and similar tools	**4,584**	**5,444**	**7,200**	**8,478**	**9,529**	**10,740**	**12,274**	**19,858**	**25,001**
Claude for Enterprise	582	646	713	872	1,122	1,443	1,827	6,572	10,113
Chat GPT enterprise	371	389	405	515	625	786	913	3,046	3,955
Google Gemini Enterprise	307	768	1,152	1,728	1,901	2,091	2,419	2,584	2,747
Microsoft 365 CoPilot	2,572	2,778	3,000	3,240	3,545	3,852	4,289	4,581	4,871
Other co-pilots & similar	751	863	1,930	2,123	2,335	2,569	2,825	3,074	3,315

Source: Company data, Menlo Ventures, HSBC estimates

- **Microsoft 365 CoPilot** is an AI-powered digital assistant, designed to boost productivity by offering intelligent suggestions, automating tasks, and providing contextual information across various applications with Microsoft reporting over 20m subscribers for 1QCY26 (4QCY25: 15m). Thus, assuming an ARPU of USD18/month (advertised price USD30/month; assuming significant enterprise discounts), we arrive at an ARR of USD4.3bn in March 2026 (December 2025: USD3.24bn). Notably, Microsoft 365 CoPilot is the largest tool by revenue in this category. However, we point out that the penetration of CoPilot among Microsoft 365 subscribers is in the low single digits. This may indicate potential for significant upside as a growing proportion of users subscribe for CoPilot over time. Considering other similar tools from competitors have seen much faster growth (on a low base), we are modelling competing tools to become a much larger part of the segment over the long run.

Microsoft 365 CoPilot

USDm, CY	2025e	2026e	2027e	2028e	2029e	2030e
Microsoft 365 subscribers	**527**	**560**	**591**	**624**	**659**	**695**
y-o-y		6.2%	5.6%	5.5%	5.5%	5.5%
CoPilot subscribers	**10**	**24**	**39**	**55**	**74**	**95**
% adoption of CoPilot	1.9%	4.3%	6.7%	8.9%	11.3%	13.7%
Assumed ARPU	**18**	**18**	**18**	**18**	**18**	**18**
M365 CoPilot Revenue: ARR	**2,198**	**5,258**	**8,500**	**11,935**	**16,010**	**20,500**

Source: Company data, HSBC estimates

- **Google** has reported rapid adoption of Gemini Enterprise within the Google Workspace ecosystem. The company had 11.2m paid seats for Gemini Enterprise in 1Q26 (4QCY25: 8.0m), just seven months after its launch. We estimate a March 2026e ARR of USD2,419m (4QCY25: USD1,728m), assuming an ARPU of USD18/month.
- We use "**Claude for Enterprise**" as a generic term for the CoPilot-like tools from Anthropic (including Claude CoWork). The company has released very little public information about the segment for us to model the revenue accurately. However, we estimate an ARR of USD11bn in May 2026, which is merely the figure we arrived at by subtracting the revenue of Claude Code (May 2026 ARR: USD20.3bn), Anthropic LLM foundational models (USD7.8bn), and Anthropic Consumer (USD830m) from Anthropic's overall revenue (May 2026 ARR: USD40bn).
- Similarly, we have few details on OpenAI's CoPilot-like tools. We assume that the ratio of OpenAI's CoPilot revenue to Anthropic's Claude for Enterprise revenue will be the same as the ratio of their respective market shares in the foundation LLM market. We believe there is a good chance that this crude approach significantly underestimates OpenAI's revenue from this segment as we are unable to reconcile OpenAI's total revenue from our estimate of OpenAI's consumer and enterprise revenue and leave a sizeable unknown/other (c10%) revenue in our OpenAI revenue estimate.

CoPilots and similar tools – HSBC long-term estimates

USDm, CY	2025e	2026e	2027e	2028e	2029e	2030e
CoPilots and similar tools	**3,872**	**30,764**	**72,209**	**102,177**	**140,797**	**193,052**
Claude for Enterprise	360	13,789	38,523	53,305	71,719	96,454
Chat GPT enterprise	232	5,125	13,871	19,682	27,179	37,543
Google Gemini Enterprise	330	2,951	4,794	6,731	9,030	11,562
Microsoft 365 CoPilot	2,198	5,258	8,500	11,935	16,010	20,500
Other co-pilots & similar	753	3,641	6,520	10,524	16,859	26,992
CoPilots and similar tools: y-o-y		**694.5%**	**134.7%**	**41.5%**	**37.8%**	**37.1%**
Claude for Enterprise		3725.2%	179.4%	38.4%	34.5%	34.5%
Chat GPT enterprise		2111.0%	170.6%	41.9%	38.1%	38.1%
Google Gemini Enterprise		795.2%	62.5%	40.4%	34.1%	28.0%
Microsoft 365 CoPilot		139.3%	61.7%	40.4%	34.1%	28.0%
Other co-pilots & similar		383.7%	79.1%	61.4%	60.2%	60.1%

Source: Company data, Menlo Ventures, HSBC estimates

Valuation and risks

Despite accelerating growth, Microsoft shares trade at a depressed 21.3x P/NTM on non-GAAP EPS vs a five-year average of 29.2x. The market has recently derated the software sector on concerns of AI competition, which we see as unreasonable (see *Can AI replace software?*, 9 February 2026).

Our TP of USD571.00 is based on 29x our NTM non-GAAP EPS estimate of USD19.68 (all unchanged). Our TP implies 36.4% upside and we maintain our Buy rating.

The table below shows relative valuation of various companies under our coverage if we use share-based compensation as a real expenditure.

Comparative valuation

			CMP	TP	PE (non-GAAP, after SBC)				EV/EBIT (non-GAAP, after SBC)				EPS CAGR	PEG
Company	Ticker	Rating	(USD)	(USD)	CY25	CY26e	CY27e	CY28e	CY25	CY26e	CY27e	CY28e	26-28e	26e
Oracle	ORCL US	Buy	192.08	345.00	36.6	36.3	26.6	18.7	30.1	25.6	20.7	15.5	39.2%	0.93
Adobe	ADBE US	Hold	244.76	282.00	14.5	12.9	11.8	10.8	11.5	10.3	8.8	7.4	9.0%	1.43
Autodesk	ADSK US	Buy	240.99	380.00	45.4	35.6	26.7	23.6	26.7	20.7	17.2	14.4	22.8%	1.56
Salesforce	CRM US	Buy	180.07	350.00	18.6	19.0	16.1	13.9	16.6	14.7	12.6	10.8	16.6%	1.14
CrowdStrike	CRWD US	Buy	663.46	446.00	3,550.0	767.6	428.4	152.4	-1,582.0	1,304.2	539.0	143.1	124.4%	6.17
Fair Isaac	FICO US	Reduce	1,239.91	707.00	46.8	28.4	27.7	28.2	33.5	21.1	20.8	21.4	0.4%	72.63
HP	HPQ US	Buy	25.24	26.40	7.9	8.6	7.3	6.6	7.4	8.0	6.9	6.5	14.3%	0.60
IBM	IBM US	Hold	253.84	231.00	21.9	20.6	19.5	17.3	20.4	18.7	17.3	15.1	9.0%	2.28
Intuit	INTU US	Buy	319.94	897.00	19.5	17.3	13.8	12.0	15.2	13.0	9.8	7.7	20.0%	0.87
Microsoft	MSFT US	Buy	418.57	571.00	27.1	22.3	18.5	15.5	21.6	18.2	15.1	12.7	19.9%	1.12
ServiceNow	NOW US	Buy	102.13	177.00	NA	43.0	33.4	24.9	44.8	34.5	25.9	18.3	31.5%	1.37
Palantir	PLTR US	Hold	136.88	151.00	285.1	118.8	78.7	67.0	219.1	91.9	59.2	50.5	33.1%	3.59
SAP (EUR)	SAP GR	Buy	151.78	185.00	24.9	21.5	18.4	16.3	16.8	15.0	12.6	10.9	15.0%	1.44
Snowflake	SNOW US	Hold	172.20	176.00	-51.5	-68.1	-92.8	-116.0	-53.2	-57.5	-73.5	-107.5	NA	NA
TE Connectivity	TEL US	Hold	202.78	234.00	21.3	17.8	15.8	14.2	17.6	14.4	12.6	13.9	11.9%	1.50
Median					**24.9**	**21.5**	**18.5**	**16.3**	**20.4**	**18.2**	**15.1**	**12.7**	**19.9%**	**1.40**

Source: LSEG Datastream, Company data, HSBC estimates. Pricing as of 25 May 2026.

Downside risks include higher-than-expected competitive intensity, worse-than-expected stock market or macroeconomic environment, adverse regulatory action, and cybersecurity risks.

Microsoft: Summary sheet

USDm, FYE June	2020	2021	2022	2023	2024	2025	2026e	2027e	2028e	2029e	2030e
Revenue	**143,015**	**168,088**	**198,270**	**211,915**	**245,122**	**281,724**	**331,147**	**406,233**	**495,659**	**592,588**	**697,217**
y-o-y		17.5%	18.0%	6.9%	15.7%	14.9%	17.5%	22.7%	22.0%	19.6%	17.7%
Costs	-90,056	-98,172	-114,887	-122,221	-135,689	-153,196	-176,515	-216,238	-267,464	-320,232	-380,360
y-o-y		9.0%	17.0%	6.4%	11.0%	12.9%	15.2%	22.5%	23.7%	19.7%	18.8%
Operating profit (non-GAAP)	**52,959**	**69,916**	**83,383**	**89,694**	**109,433**	**128,528**	**154,632**	**189,996**	**228,195**	**272,356**	**316,857**
Margin	37.0%	41.6%	42.1%	42.3%	44.6%	45.6%	46.7%	46.8%	46.0%	46.0%	45.4%
One-off items	0	0	0	-1,171	0	0	0	0	0	0	0
Operating profit (GAAP)	**52,959**	**69,916**	**83,383**	**88,523**	**109,433**	**128,528**	**154,632**	**189,996**	**228,195**	**272,356**	**316,857**
Margin	37.0%	41.6%	42.1%	41.8%	44.6%	45.6%	46.7%	46.8%	46.0%	46.0%	45.4%
Net profit (non-GAAP)	**44,281**	**60,651**	**69,447**	**73,307**	**88,136**	**104,524**	**126,092**	**153,825**	**183,418**	**205,368**	**239,819**
EPS (non-GAAP) (USD)	**5.76**	**7.97**	**9.21**	**9.81**	**11.80**	**14.00**	**16.92**	**20.71**	**24.68**	**27.59**	**32.13**
y-o-y		38.4%	15.6%	6.5%	20.3%	18.6%	20.9%	22.4%	19.2%	11.8%	16.5%
Total debt	63,327	58,146	49,781	47,237	51,630	43,151	45,262	45,462	45,662	45,862	46,062
Cash	136,527	130,334	104,757	111,262	75,543	94,565	70,825	17,759	-10,046	-14,582	20,409
Net debt	**-73,200**	**-72,188**	**-54,976**	**-64,025**	**-23,913**	**-51,414**	**-25,563**	**27,703**	**55,708**	**60,444**	**25,653**
Operating cash flow	60,675	76,740	89,035	87,582	118,548	136,162	169,795	237,718	295,892	363,807	438,692
Capex	-19,000	-24,200	-29,200	-31,900	-55,700	-88,200	-145,300	-240,000	-276,000	-317,400	-349,140
FCF	**41,675**	**52,540**	**59,835**	**55,682**	**62,848**	**47,962**	**24,495**	**-2,282**	**19,892**	**46,407**	**89,552**
Shareholder dividends	-15,137	-16,521	-18,135	-19,800	-21,771	-24,082	-26,435	-28,984	-31,897	-35,143	-38,761
Share buybacks	-21,625	-25,692	-30,855	-20,379	-15,252	-16,364	-23,203	-22,000	-16,000	-16,000	-16,000
Acquisitions	-2,521	-8,909	-22,038	-1,670	-69,132	-5,978	-1,291	0	0	0	0

Source: Company data, HSBC estimates

Disclosure appendix

Analyst Certification

The following analyst(s), economist(s), or strategist(s) who is(are) primarily responsible for this report, including any analyst(s) whose name(s) appear(s) as author of an individual section or sections of the report and any analyst(s) named as the covering analyst(s) of a subsidiary company in a sum-of-the-parts valuation certifies(y) that the opinion(s) on the subject security(ies) or issuer(s), any views or forecasts expressed in the section(s) of which such individual(s) is(are) named as author(s), and any other views or forecasts expressed herein, including any views expressed on the back page of the research report, accurately reflect their personal view(s) and that no part of their compensation was, is or will be directly or indirectly related to the specific recommendation(s) or views contained in this research report: Stephen Bersey, Abhishek Shukla, CFA and Sameer Lam

Important disclosures

Equities: Stock ratings and basis for financial analysis

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From 23rd March 2015 HSBC has assigned ratings on the following basis:

The target price is based on the analyst's assessment of the stock's actual current value, although we expect it to take six to 12 months for the market price to reflect this. When the target price is more than 20% above the current share price, the stock will be classified as a Buy; when it is between 5% and 20% above the current share price, the stock may be classified as a Buy or a Hold; when it is between 5% below and 5% above the current share price, the stock will be classified as a Hold; when it is between 5% and 20% below the current share price, the stock may be classified as a Hold or a Reduce; and when it is more than 20% below the current share price, the stock will be classified as a Reduce.

Our ratings are re-calibrated against these bands at the time of any 'material change' (initiation or resumption of coverage, change in target price or estimates).

Upside/Downside is the percentage difference between the target price and the share price.

Prior to this date, HSBC's rating structure was applied on the following basis:

For each stock we set a required rate of return calculated from the cost of equity for that stock's domestic or, as appropriate, regional market established by our strategy team. The target price for a stock represented the value the analyst expected the stock to reach over our performance horizon. The performance horizon was 12 months. For a stock to be classified as Overweight, the potential return, which equals the percentage difference between the current share price and the target price, including the forecast dividend yield when indicated, had to exceed the required return by at least 5 percentage points over the succeeding 12 months (or 10 percentage points for a stock classified as Volatile*). For a stock to be classified as Underweight, the stock was expected to underperform its required return by at least 5 percentage points over the succeeding 12 months (or 10 percentage points for a stock classified as Volatile*). Stocks between these bands were classified as Neutral.

*A stock was classified as volatile if its historical volatility had exceeded 40%, if the stock had been listed for less than 12 months (unless it was in an industry or sector where volatility is low) or if the analyst expected significant volatility. However, stocks which we did not consider volatile may in fact also have behaved in such a way. Historical volatility was defined as the past month's average of the daily 365-day moving average volatilities. In order to avoid misleadingly frequent changes in rating, however, volatility had to move 2.5 percentage points past the 40% benchmark in either direction for a stock's status to change.

Rating distribution for long-term investment opportunities

As of 31 March 2026, the distribution of all independent ratings published by HSBC is as follows:

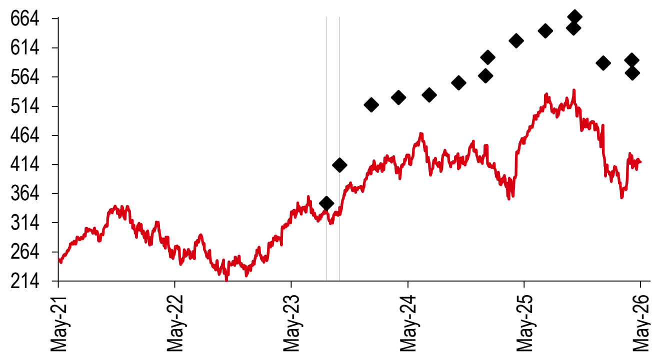
Buy	59%	(12% of these provided with Investment Banking Services in the past 12 months)
Hold	36%	(12% of these provided with Investment Banking Services in the past 12 months)
Sell	6%	(6% of these provided with Investment Banking Services in the past 12 months)

For the purposes of the distribution above the following mapping structure is used during the transition from the previous to current rating models: under our previous model, Overweight = Buy, Neutral = Hold and Underweight = Sell; under our current model Buy = Buy, Hold = Hold and Reduce = Sell. For rating definitions under both models, please see "Stock ratings and basis for financial analysis" above.

For the distribution of non-independent ratings published by HSBC, please see the disclosure page available at *http://www.hsbcnet.com/gbm/financial-regulation/investment-recommendations-disclosures*.

Share price and rating changes for long-term investment opportunities

Microsoft (MSFT.O) share price performance USD Vs HSBC rating history



Source: HSBC

Rating & target price history

From	To	Date	Analyst
Add	Terminated	22 Feb 2010	
N/A	Hold	14 Sep 2023	Stephen Bersey
Hold	Buy	25 Oct 2023	Stephen Bersey

Target price	Value	Date	Analyst
Price 1	32.50	18 Oct 2002	
Price 2	347.00	14 Sep 2023	Stephen Bersey
Price 3	413.00	25 Oct 2023	Stephen Bersey
Price 4	516.00	01 Feb 2024	Stephen Bersey
Price 5	529.00	26 Apr 2024	Stephen Bersey
Price 6	533.00	01 Aug 2024	Stephen Bersey
Price 7	554.00	01 Nov 2024	Stephen Bersey
Price 8	566.00	24 Jan 2025	Stephen Bersey
Price 9	598.00	31 Jan 2025	Stephen Bersey
Price 10	626.00	01 May 2025	Stephen Bersey
Price 11	643.00	31 Jul 2025	Stephen Bersey
Price 12	648.00	27 Oct 2025	Stephen Bersey
Price 13	667.00	31 Oct 2025	Stephen Bersey
Price 14	588.00	29 Jan 2026	Stephen Bersey
Price 15	593.00	28 Apr 2026	Stephen Bersey
Price 16	571.00	30 Apr 2026	Stephen Bersey

Source: HSBC

To view a list of all the independent fundamental ratings/recommendations disseminated by HSBC during the preceding 12-month period, and the location where we publish our quarterly distribution of non-fundamental recommendations (applicable to Fixed Income and Currencies research only), please use the following links to access the disclosure page:

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HSBC & Analyst disclosures

Disclosure checklist

Company	Ticker	Recent price	Price date	Disclosure
MICROSOFT	MSFT.OQ	418.57	25 May 2026	6, 7

Source: HSBC

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